

by the Food Safety & Standards Authority of India (FSSAI), the nation's highest food regulatory body. Despite FSSAI permitting 13.6 gm of sugar per 100 gm of product, Cerelac only contains 7.1 gm.

"There is nothing in this product that is potentially of risk or any kind of harm to the child. The nutritive content of what we offer is to take care of the stage of development of the child. That is the only thing that is compelling us to do what we do," Narayanan said.

This is not the first time that Nestlé has found itself in the soup. In 2015, the Swiss major faced allegations of excessive soda ash and the presence of the potentially carcinogenic element, mono-sodium glutamate (MSG), commonly known as Ajinomoto, in its instant noodles, Maggi. This led to significant loss of sales, amounting to hundreds of crores, as the product was banned by the FSSAI for several months. Maggi, which is a key brand and contributes nearly 30% to its revenue, was the sole category driving incremental volume sales. Since then, significant transformations have taken place.

Narayanan, who was brought in from the Philippines during the peak of the Maggi controversy to oversee operations in India, has successfully turned the business around. In addition to diversifying its product portfolio, Nestlé India has expanded its distribution network into rural areas and achieved volume growth across its other three segments: milk & nutrition, confectionery, and beverages. Today, Nestlé India boasts annual sales of ₹17,000 crore, compared to ₹7,705 crore in 2015.

Unlike the previous incident, this time, however, top officials at FSSAI have refrained from making public statements against Nestlé's products. Instead, the food regulator has initiated a campaign to examine infant formula products

UNDER PRESSURE



Nestlé has come under scrutiny again, this time for its infant cereal, Cerelac, over concerns about added sugar



This is not the first time the Swiss FMCG major has come under scrutiny for its products. The last time was back in 2015 for its bestselling product, Maggi noodles



The present controversy erupted after two investigative reports highlighted Nestlé's practice of adding sugar to Cerelac in countries like India, Thailand, and Ethiopia



Nestlé India's Chairman & MD has refuted accusations of discriminatory practices, stating that both sugar and sugar-free versions are available globally



Experts predict a short-term impact on Nestlé's sales depending on media coverage and regulatory actions

from Nestlé India, along with other leading manufacturers, to ascertain their quality standards. According to sources, FSSAI is procuring samples of Cerelac from Nestlé India's two manufacturing facilities.

While the final decision is pending, experts believe that the company is unlikely to face significant threats this time around. However, there may be a short-term impact on Nestlé's sales depending on media coverage and regulatory actions, notes Abneesh Roy, Executive Director at Nuvama Institutional Equities.

Moreover, with Nestlé India commanding over 70% of the infant cereal market, competitors may seize the opportunity to gain market share. During the Maggi crisis, for example, the company lost more than 10 percentage points in its market share to its rivals.

However, Nestlé isn't the only company facing a controversy over its products. Adding to this ongoing scrutiny of food products, recent events have even brought Indian spice brands into the spotlight. Following bans imposed by Hong Kong and Singapore on products from two prominent spice brands—MDH and Everest—the US Food & Drug Administration (FDA) has initiated an investigation into the composition of these manufacturers' products. Hong Kong authorities have prohibited the sale of three spice mixes by MDH—Madras Curry Powder, Sambhar Masala Powder, and Curry Powder—along with an Everest spice blend, Fish Curry Masala. Allegations suggest that certain spice blends from these manufacturers may contain ethylene oxide, a carcinogenic agent commonly found in pesticides. According to a USFDA spokesperson, the authority "is aware of the reports and is gathering additional information about the situation". **BT**

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